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Introduction to Business Frameworks
Session - 6

3rd October, 2026

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Agenda

1. Nykaa - Agentic Commerce flow

2. Spinny - Make vs Buy for growth



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Crux of the case

When the shopper becomes an AI agent, what changes when the customer no longer browses Nykaa herself?

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The automation curve in agentic commerce

- AI agents could mediate **$3-5 Tn of commerce by '30**; already helping shoppers compare, assemble baskets and buy.
- Agents are **now decision-grade**, open protocols provide the rails, and **intent is moving upstream** so agents act when a need surfaces.
- Six levels, **a curve rather than a ladder**: 0 Programmed (subscriptions), 1 Assist (research), 2 Assemble (ready basket), 3 Authorize (acts within your rules), 4 Autonomize (works toward standing goals), 5 Networked (agent-to-agent). **The goal is optimal delegation, not maximum autonomy**.
- Delegation **accelerates for low-regret, repeat purchases**. E.g., for groceries and essentials, reliability, price and easy returns beat brand storytelling.
- It **plateaus for identity-driven or high-regret buys**: Luxury and milestone purchases stay human at the final step. Complex categories (travel/electronics) are selective, and trust depends on explainability and reversibility.
- **Retailers must be machine-readable**: That means structured product data, API-first inventory and pricing, codified policies, etc. Otherwise agents can't find you.
- **Value pools shift**: The funnel collapses into one agent-mediated moment and loyalty becomes policy-driven. Reliable executors gain, while discovery-dependent players risk disintermediation.

If the AI owns the conversation, does Nykaa become merely the inventory + fulfilment layer, or can it retain customer value?

- Today
  - Human discovers → browses → compares → decides → buys
  - Nykaa wins through content, curation, influencers, reviews, promotions
  - Marketing/distribution ≈ 15% of revenue
- 2030 case scenario
  - 25% of repeat beauty orders are placed by AI agents
  - Agents evaluate:
    - Price
    - Delivery time
    - Authenticity
    - Ingredient/skin fit
    - Reviews
    - Purchase history
  - Agents do not see banners, packaging or reels

The interface through which customers make decisions can change where economic value sits in the value chain.

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The strategic choice: Open, close or own?

If yes, what all need to be exposed, and on what terms

Option	What Nykaa does	Potential upside	Key risk
Open	Allow ChatGPT/Gemini/etc. to shop Nykaa	Capture agent-driven demand	Lose customer relationship
Close	Keep agents out	Preserve direct relationship & data	Agents may redirect demand elsewhere
Own	Build Nykaa's own agent	Retain customer + transaction	High investment; competing with general assistants

Is distribution through an AI agent a new acquisition channel or a new intermediary taking economics from Nykaa?

Consumer → AI → multiple retailers

Nykaa will now have to compete on price, availability & product attributes rather than owning discovery.

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What does Nykaa's role become in this new world?

- **Nykaa has three businesses / roles:**
  - **Marketplace -** 1000s of brands, Selection + distribution, Transaction economics
  - **House of Nykaa -** Owned brands, Product differentiation, Brand economics
  - **Offline retail -** 313 stores / 99 cities, Human discovery and experience
- **Agentic commerce changes the relative value**
- **Marketplace could become more commoditised**
  - Agent compares products objectively
  - Less value from banners, merchandising and content
  - Customer may not care which interface they bought through
- **Brands could become more valuable**
- **Agent needs structured product attributes**
  - **Differentiation shifts** towards efficacy, ingredients, reviews, authenticity, price/value, repeat purchase behaviour
- **What happens to House of Nykaa?**

Most delegated purchases are expected to be replenishment, while launches, colour cosmetics, gifting and identity-linked purchases remain human

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The economics + experimentation to validate hypothesis

- **FY30** case assumption - Beauty **GMV ≈ ₹36,000 Cr**
- At 25% agent penetration, **Agent-driven GMV ≈ ₹9,000 Cr**
- At **2–5% intermediary economics**: Potential **agent cost ≈ ₹180–450 Cr**
- How does that compare against:
  - Current CAC
  - Lost ad/merch revenue
  - Incremental conversion and frequency
- **Experimentation**:
  - Phase 1: Conversion vs Nykaa app on replenishment categories
  - Phase 2: Compare agent CAC, conversion, AOV and repeat rate
  - Phase 3: Automate one category such as sunscreen/skincare replenishment via own agent

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Crux of the case

How can Spinny increase the lifetime value of a customer without destroying the capital efficiency and control that differentiate its core business?

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Spinny has a high-control car-buying experience — but customer is inherently low-frequency

Growth needs to come from more customers or higher LTV

Today	Implication
~6M used cars transact annually	Large underlying market
~20% through organised platforms	Formalisation opportunity
80–82% buyers are first-time owners	Large customer acquisition opportunity
Customer buys a car once every 5+ years	Low natural repeat frequency
Procurement = ₹4,309 Cr / ~83% of expenses	Capital is heavily tied up in inventory
FY25 revenue = ₹4,657 Cr; loss = ₹424 Cr	Adjacent bets compete with core capital

Customer LTV = Initial car contribution + financing + insurance + warranty + servicing + accessories + future vehicle transactions

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Which adjacency naturally extends the customer relationship beyond the original car transaction?

Adjacency	Frequency	Margin potential	Strategic fit
Financing	High	High	High
Insurance	Annual	Medium	High
Warranty	Low/medium	Medium	High
Servicing	High	Medium	High
Accessories	Medium	Medium	Medium
B2B auctions	High	Medium	Medium
Content/leads	High	Variable	Lower

Will help us be extremely specific in terms of :

What exactly are you selling, to whom, at what price, and how often?

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Capability & capital intensiveness determines Build vs Buy

Spinny's competitive proposition is control.

- BUILD
  - More control over customer experience
  - Designed to Spinny standards
  - Slower to achieve scale
  - Requires capability creation
  - Lower integration risk
- BUY
  - Immediate geographic/customer coverage
  - Existing customers + capabilities
  - Potentially attractive distressed valuations
  - Faster route to scale
  - Integration + culture/control risk

BUY when:

Value of time saved + acquired capabilities + customer base
>
Acquisition price + integration cost + loss of control

BUILD when:

Control / differentiation is strategically important and the time-to-scale does not justify the acquisition premium.

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What return must an adjacency generate to justify taking capital away from inventory?

- Every adjacency competes with the core
- Spinny is:
  - Pre-IPO
  - Loss-making
  - Inventory-intensive
  - Spending ~83% of expenses on procurement
- **Pilot** - key success metrics
  - Conversion, Frequency, Margin, Incremental CAC

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Q&A